

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-06

COAST CITRUS DISTRIBUTORS D/B/A
OLYMPIC FRUIT & VEGETABLE;
AMAZON PRODUCE NETWORK, LLC;
REFIN TROPICALS, S.A.; JW FRESH, S.A.;
SEMBRÍOS DE EXPORTACIÓN
SEMBRIEXPORT, S.A., AND BRESSON S.A.,
COMPLAINANTS

v.

NETWORK SHIPPING LTD., INC.,
RESPONDENT.



VERIFIED COMPLAINT

Complainants Coast Citrus Distributors d/b/a Olympic Fruit & Vegetable (“Coast”); Amazon Produce Network, LLC (“Amazon”); Refin Tropicals, S.A. (“Refin”); JW Fresh, S.A. (“JW”); Bresson S.A. (“Bresson”); and Sembríos de Exportación Sembriexport, S.A. (“Sembriexport,” and together with Coast, Amazon, Refin, JW, and Bresson, collectively, “Complainants”), by their undersigned attorneys, file this Verified Complaint against Respondent Network Shipping Ltd., Inc. (“NWS” or “Respondent”) to seek reparation for injuries to Complainants caused by Respondent’s violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the “Shipping Act”) as follows:

I. COMPLAINANTS

1. Complainant Coast is a corporation organized under the laws of the State of California with a principal place of business at 7597 Bristow Court, San Diego, CA 92154, with an email address at ifreeland@coastcitrus.com.

2. Coast imports and distributes fresh produce from Central and South America to the United States, where it sells it to wholesalers and retailers. For all relevant purposes, Coast was a “shipper” as defined in 46 U.S.C. § 40102(23)(C)¹.

3. Amazon is a corporation organized under the laws of the State of Delaware with a principal place of business at 1560 Sherman Ave., Suite 1200, Evanston, IL 60201, with an email address at clark@amazonprod.com.

4. Amazon imports and distributes fresh produce from Central and South America to the United States, where it sells it to wholesalers and retailers. For all relevant purposes, Amazon was a “shipper” as defined in 46 U.S.C. § 40102(23)(C).

5. Refin is a limited liability company organized under the laws of the Republic of Ecuador, with a principal place of business at Km. 1.5 Vía Samboróndon, Suite #505, Samboróndon, Ecuador, with an email address at bmalo@refintropicals.com.

6. Refin exports and sells fresh produce to companies in the United States. For all relevant purposes, Refin was a “shipper” as defined in 46 U.S.C. § 40102(23)(C).

7. JW is a limited liability company organized under the laws of the Republic of Ecuador, with a principal place of business at Avenida Joaquin Orrantiay, Avenida Leopoldo

¹ References to the United States Code are to its 2021 version prior to the enactment of the Ocean Shipping Reform Act of 2022.

Benitez, Edificio Torres No. 5 Guayaquil, Ecuador, with an email address at tonysamanpendola@propalcol.com.

8. JW exports and sells fresh produce to companies in the United States. For all relevant purposes, JW was a “shipper” as defined in 46 U.S.C. § 40102(23).

9. Bresson is a limited liability company organized under the laws of the Republic of Ecuador, with a principal place of business at Calle Tercera No. 1300 Esq. Carretero Via La Costa Km 24, Guayaquil, Guayas Ecuador, with an email address at tonysaman@hotmail.com.

10. Bresson exports and sells fresh produce to companies in the United States. For all relevant purposes, Bresson was a “shipper” as defined in 46 U.S.C. § 40102(23).

11. Sembriexport is a limited liability company organized under the laws of the Republic of Ecuador, with a principal place of business at Km. 23 Via a Duale, Guayaquil, Ecuador, with an email address at nicrodnav@gmail.com.

12. Sembriexport exports and sells fresh produce to companies in the United States. For all relevant purposes, Sembriexport was a “shipper” as defined in 46 U.S.C. § 40102(23).

13. The names and addresses of the attorneys representing Complainants are: (1) Tiffany N. Compres, FisherBroyles LLP, 1221 Brickell Avenue, Suite 900, Miami Florida, 33131, tiffany.compres@fisherbroyles.com, (2) Gene M. Burd, FisherBroyles LLP, 1200 G Street NW, Suite 800, Washington, D.C. 20005, gene.burd@fisherbroyles.com, and (3) Yine Rodríguez Pérez, FisherBroyles LLP, 1221 Brickell Avenue, Suite 900, Miami Florida, 33131, yine.rodriguezperez@fisherbroyles.com

II. RESPONDENT

14. Upon information and belief, NWS is a company existing under the laws of Bermuda with a principal place of business at 241 Sevilla Avenue, 12th Floor, Miami, FL 33134.

15. NWS is and was at all times pertinent to this Complaint a “common carrier” within the meaning of 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”). The email address currently known for Respondent is HLutty@freshdelmonte.com.

III. RELEVANT NON-PARTIES

16. Upon information and belief, Inchcape Shipping Services (“ISS”), at all relevant times, was NWS’s agent at Port Hueneme.

17. Upon information and belief, Del Monte, at all relevant times, was and is one of the world’s largest group of companies engaged in the production, distribution, and marketing of fresh produce. Del Monte is a competitor of the Complainants.

18. Upon information and belief, NSS, at all relevant times was and is a shipping and logistics affiliate of Del Monte.

IV. JURISDICTION

19. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984 (46 U.S.C. §§ 40101 et seq.).

20. This Complaint is being filed pursuant to 46 U.S.C. § 41301. Complainants are seeking reparations for injuries caused to them by Respondent due to Respondent’s violations of 46 U.S.C. §§ 41102(c) and 41104(a).

21. The FMC has personal jurisdiction over NWS as a “common carrier” as defined in 46 U.S.C. § 40102(7).

22. Respondent’s actions alleged herein constitute (1) failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4; (2) “directly or indirectly ... engag[ing] in any unfair or unjustly discriminatory practices” with respect to “cargo space accommodation or other facilities...”, under 46 U.S.C. § 41104(a)(4)(C); and (3) “giv[ing] any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage” under 46 U.S.C. § 41104(a)(8).

V. FACTUAL ALLEGATIONS

A. Background

23. Amazon and Coast (the “Importers”) distribute and sell fresh mangos from Ecuador in the United States supplied by Refin, JW, Bresson, and Sembriexport (Refin, JW, Bresson, and Sembriexport, are referred to collectively as the “Exporters”).

24. For the 2021-2022 mango season, the Complainants negotiated with NWS to ship the mangos from Ecuador to Port Hueneme, United States.

25. To facilitate the shipments Refin entered into a service contract with NWS for the carriage of fresh mangos effective from September 15, 2021 to January 31, 2022. Sembriexport also entered into a service contract with NWS for the carriage of fresh mangoes effective from September 10, 2021 to January 31, 2022. The respective service contracts incorporated NWS’s tariffs.

26. Bills of Lading for each shipment of mangoes designated one of the Exporters as “shipper” and one of the Importers as “consignee.” The Exporter named on the respective Bill of Lading was also a beneficial cargo owner. Accordingly, each Complainant was a shipper within the meaning of 46 U.S.C. § 40102(23) with respect to the mangos and Bills of Lading at issue.

B. Container Shipment of Mangoes Through the Port of Hueneme

27. Complainants shipped mangos from the port of origin in refrigerated climate-controlled containers to preserve freshness during shipment.² The mangoes were packaged in boxes and loaded into the reefers in good condition.

28. The Importers would arrange for trucks to pick up containers at the port terminal on arrival as soon as possible to ensure the mangos are in a saleable condition when they arrive to the buyer.

29. Customarily, when containers arrived, NWS would unload them from the vessel to the terminal and mount them on the chassis.

30. “Chassis are the metal frame and wheels upon which intermodal shipping containers are mounted for movement over the road.” *Intermodal Carriers Conf., Am. Trucking Assoc., Inc. v. Ocean Carrier Equip. Mgmt. Assoc. Inc., et al.*, FMC Docket No 20-14, Initial Decision partially Granting Summary Decision, at 2 (Feb. 6, 2023). “Chassis are critical to moving intermodal shipping containers throughout the country,” and are “the wheels of the supply chain.” *Id.* citing Final Report, Commissioner Carl W. Bentzel, *Assessment of P.R.C. Control of Container and Intermodal Chassis Manufacturing*, at 5 (released Mar. 30, 2022), available at: www.fmc.gov/wp-content/uploads/2022/03/ContainerandChassisManufacturingFinalReport.pdf.

² Refrigerated containers are typically referred to as reefers.

Even on port-to-port service, carriers provide the chassis, whether by contracting with an intermodal equipment provider (“IEP”) or otherwise. *Intermodal Carriers Conf.*, FMC Docket No. 20-14, at 2-3.

31. At Port Hueneme, customarily, NWS provided the chassis. Once the container was released, the customs broker and the respective trucking company would be notified, after which the Importer would arrange with the trucking company to provide a truck to pick up the container mounted on the chassis.

32. The Importer would then receive fresh mangos in the United States and deliver them to their customers.

C. NWS Stops Providing Chassis and Refuses to Remedy the Deficiency

33. Although the shipments from Ecuador generally arrived timely, at or about the end of November 2021, the Importers’ containers carrying the fresh mangos experienced a delay leaving Port Hueneme caused by NWS’s failure to provide chassis.

34. Upon information and belief, NWS failed to provide chassis to the Importers because it allocated available chassis to containers delivered by Del Monte, an importer affiliated with NWS, or its affiliates to avoid delays in the delivery of Del Monte products. In fact, Mohammad Abu-Ghazaleh, Chairman and Chief Executive Officer at Fresh Del Monte, acknowledged that NWS and Del Monte worked hand-in-hand to achieve timely deliveries of its products, stating that: “As disruptions in logistics and shipping continue to grow, the need to find agile and efficient solutions is greater than ever. *Network Shipping is leveraging Fresh Del Monte’s resources, achieving an almost 100% on-time delivery rate*, and responding quickly to ever-evolving market needs[,]” all that to the detriment of other NWS customers. Del Monte Press

Release, June 2, 2022 (emphasis added). As a common carrier, NWS is prohibited by the Shipping Act of 1984 from providing such preferential treatment to one customer to the detriment of others.

35. The delay caused by NWS in retrieving the Importers' containers from the port was so extreme that, in some cases, the containers remained at the port for **over 50 days** waiting for the chassis. At least 108 Importers' containers of fresh mangos remained at the port for ten or more days, eventually leading to the spoliation of the fruit.

36. During the relevant period of time, truckers who arrived at the gate, as they customarily did, were told by NWS and/or ISS that no chassis were available or that the cargo "wasn't ready" and instructed them to return the following day, only to receive the same rejection day after day.

37. To mitigate the shortage of chassis, Importers attempted to obtain chassis from other providers. However, because customarily chassis were provided by NWS, other providers did not have appropriate types of chassis available in sufficient quantities. Moreover, NWS failed to provide adequate prior notice to Importers that it would not have chassis available, which resulted in Importers' and their agents' reasonable expectation that NWS would provide chassis timely upon release of the containers, which NWS failed to do.

38. NWS's failure to timely provide chassis and its preferential treatment of Del Monte shipments affected over 120 Importers' containers that arrived on multiple vessels. NWS's failure to timely provide chassis lasted the entire mango season and was an ongoing and continuous practice.

39. Moreover, NWS was aware that the cargo contained fresh mangos but breached its obligation to allocate chassis in a just and non-discriminatory fashion, which caused significant damages to the Complainants.

40. Complainants repeatedly informed NWS and Del Monte of the chassis shortage at the port and requested that NWS provide chassis to pick up the containers languishing at the port. However, NWS failed to remedy the situation.

41. By way of example, a call was scheduled for January 10, 2022, to discuss the matter. However, NWS's agent, ISS, refused to attend the call; and NWS failed to remedy the situation.

42. Further, while refusing to provide chassis to Importers, as discussed above, NWS provided chassis for containers delivered on the same vessels for its parent company Del Monte, leaving Complainants' containers sitting at the port for weeks and, in some instances, for months.

43. Upon information and belief, Del Monte's own cargo was not delayed and was the only cargo that was moving out of the port.

D. The Affected Shipments

44. As of the date of this Complaint, about 108 containers have been identified as affected. Complainants have incurred in excess of **USD \$2,000,000.00** in damages and costs in connection with dumping, inspection, transportation, and lost sales of the perished cargo as a result of NWS's actions described above.

45. After failing to receive any response from NWS with respect to its requests for improvement on the situation, on or about May 15, 2023, Complainants, through counsel, sent NWS a demand for compensation for damages incurred due to the violations of the Shipping Act.

46. All conditions precedent to this action have occurred, been satisfied or have been waived.

47. Complainants have been forced to retain FisherBroyles LLP to represent them in this action and have agreed to pay the law firm's attorneys' fees. Accordingly, the Complainants request that the Commission award Complainants reasonable attorneys' fees under 46 C.F.R. § 502.254 if they prevail.

VI. VIOLATIONS OF THE SHIPPING ACT

COUNT I – VIOLATION OF 46 U.S.C. § 41102(c)

48. Complainants reallege each allegation above as if fully set forth in paragraphs 1 through 47 herein.

49. NWS is an ocean common carrier.

50. During the 2021-2022 mango season, NWS customarily and continuously failed to timely provide chassis for the cargo of mangoes imported by Complainants as set forth in detail above.

51. NWS' failure to provide chassis related to and is connected with receiving, handling, storing, or delivering property.

52. The foregoing customary, continuous, and ongoing conduct by NWS in connection with its respective receipt, handling, storage, and delivery of the property of Complainants and, upon information and belief, of other shippers, constitutes failures by NWS to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants and other shippers, in violation of 46 U.S.C. § 41102(c).

53. The facts asserted in this Complaint establish that NWS's practices have affected freight fluidity such that Complainants were unable to pick up their containers. NWS employed unreasonable and unjust practices when it refused to provide chassis for the movement of the containers of perishable products when it had historically and customarily done so, while at the same time providing chassis to Del Monte.

COUNT II – VIOLATION OF 46 U.S.C. § 41104(a)(4)(C)

54. Complainants reallege each allegation above as if fully set forth in paragraphs 1 through 47 herein.

55. Pursuant to 46 U.S.C. § 41104(a)(4)(C), a common carrier, such as NWS, "may not . . . for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of . . . cargo space accommodations or other facilities . . ."

56. NWS provided services to Complainants pursuant to its tariffs, including those incorporated into a respective service contract.

57. The Complainants are competitors of Del Monte, a NWS's affiliate.

58. NWS was giving preferential treatment to containers shipped by Del Monte over Complainants' containers, as described above.

59. The prejudice or disadvantage to Complainants was the proximate cause of injury.

60. The unequal treatment was not justified by differences in transportation circumstances.

61. By means of the foregoing, NWS engaged in unfair and unjustly discriminatory practices with respect to facilities relating to Complainants' cargo.

COUNT III – VIOLATION OF 46 U.S.C. § 41104(a)(4)(D)

62. Complainants reallege each allegation above as if fully set forth in paragraphs 1 through 47 herein.

63. Pursuant to 46 U.S.C. § 41104(a)(4)(D), a common carrier, such as NWS, “may not . . . for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of . . . loading and landing of freight . . .”

64. NWS provided services to Complainants pursuant to its tariffs, including those incorporated into a respective service contract.

65. The Complainants are competitors of Del Monte, a NWS’s affiliate.

66. NWS was giving preferential treatment to containers shipped by Del Monte over Complainants’ containers, as described above.

67. The prejudice or disadvantage to Complainants was the proximate cause of injury.

68. The unequal treatment was not justified by differences in transportation circumstances.

69. By means of the foregoing, NWS engaged in unfair and unjustly discriminatory practices with respect to loading and landing of Complainants’ cargo.

COUNT III – VIOLATION OF 46 U.S.C. § 41104(a)(8)

70. Complainants reallege each allegation above as if fully set forth in paragraphs 1 through 47 herein.

71. Pursuant to 46 U.S.C. § 41104(a)(8), a common carrier, such as NWS, “may not . . . for service pursuant to a tariff, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage”

72. NWS provided services to Complainants pursuant to its tariffs, including those incorporated into a respective service contract.

73. The Complainants are competitors of Del Monte, a NWS’s affiliate.

74. NWS was giving preferential treatment to containers shipped by Del Monte over Complainants’ containers, as described above.

75. The prejudice or disadvantage to Complainants was the proximate cause of injury.

76. The unequal treatment was not justified by differences in transportation circumstances.

77. By means of the foregoing, NWS gave undue or unreasonable preference to Del Monte and imposed an undue or unreasonable prejudice or disadvantage on the Complainants.

VII. CAUSATION

78. The foregoing alleged illegal acts of Respondent have directly and proximately injured Complainants by causing delays in retrieving containers of perishable product, which, in turn, caused the fresh mangos to rot and ultimately be rejected by the buyer or destroyed because they were unfit for human consumption.

VIII. COMPLAINANT’S DAMAGES

79. Complainants have been, and continue to be, actually and materially injured by NWS’s continuous conduct in violation of the Shipping Act alleged herein.

80. NWS's violations alleged herein have caused direct, proximate, and ongoing financial damages to Complainants in an amount already believed to exceed USD \$2,000,000, currently accruing, and to be further demonstrated in this proceeding.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainants respectfully request that the FMC require NWS to answer the charges made in this Verified Complaint and prays for relief from the FMC as follows:

1. An investigation by the FMC of the allegations in this Verified Complaint pursuant to 46 U.S.C. Section 41301(c);
2. An Order, after due investigation pursuant to 46 U.S.C. Sections 41302 and 41303 and a hearing pursuant to 46 U.S.C. Section 41304, finding that Respondent has violated
 - a. 46 U.S.C. Section 41102(c) in connection with their respective receipt, handling, storage, and delivery of the property of the Complainants;
 - b. 46 U.S.C. § 41104(a)(4)(C) by “directly or indirectly ... engag[ing] in ... unfair or unjustly discriminatory practices” with respect to “cargo space accommodation or other facilities...” with respect to the Complainants;
 - c. 46 U.S.C. § 41104(a)(4)(D) by “directly or indirectly ... engag[ing] in ... unfair or unjustly discriminatory practices” with respect to “loading and landing of freight” with respect to the Complainants; and
 - d. 46 U.S.C. § 41104(a)(8) by “giv[ing] ... undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” upon Complainants.

3. An Order (1) compelling NWS to cease and desist from violation of the Shipping Act and (2) putting in place lawful and reasonable practices to preclude NWS from refusing to provide chassis and preventing NWS from providing chassis in an unequal manner to shippers.
4. An Order requiring NWS to pay Complainants reparations for the unlawful conduct alleged herein in an amount to be proven pursuant to 46 U.S.C. Section 41305, with interest pursuant to 46 U.S.C. Section 41305(a), Complainants' reasonable attorneys' fees as "the prevailing party" pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper; and
5. Such other and further orders or relief as the FMC deems just and proper.

X. ORAL HEARING

The Complainants are hereby requesting oral hearing in Washington, D.C.

Dated: July 25, 2023
Washington, D.C.

Respectfully submitted,

FISHERBROYLES LLP

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Amazon Produce Network, LLC;
Refin Tropicals, S.A.;
JW Fresh, S.A.;
Bresson S.A.; and
Sembríos de Exportación Sembriexport, S.A.

VERIFICATIONS

COAST CITRUS DISTRIBUTORS D/B/A OLYMPIC FRUIT & VEGETABLE

I, ISABEL C FREELAND, verify, under penalty of perjury under the laws of the United States that I am the VICE President of COAST CITRUS DISTRIBUTORS D/B/A OLYMPIC FRUIT & VEGETABLE and is the person who signed the foregoing Verified Complaint, that I read the foregoing and that the facts set forth without qualification are true and that the facts stated therein upon information received from others, I believe to be true.

Signed at: SAN DIEGO, CA

Date: 7/20/2023

Signature: Isabel C Freeland

AMAZON PRODUCE NETWORK, LLC

I, Clark Golden, verify, under penalty of perjury under the laws of the United States that I am the CEO of AMAZON PRODUCE NETWORK, LLC and is the person who signed the foregoing Verified Complaint, that I read the foregoing and that the facts set forth without qualification are true and that the facts stated therein upon information received from others, I believe to be true.

Signed at: Vireland, NV

Date: 7/21/2023

Signature: Clark Golden

REFIN TROPICALS, S.A.

I, Bernardo Malo, verify, under penalty of perjury under the laws of the United States that I am the General Manager of REFIN TROPICALS, S.A. and is the person who signed the foregoing Verified Complaint, that I read the foregoing and that the facts set forth without qualification are true and that the facts stated therein upon information received from others, I believe to be true.

Signed at: Guyaquil - Ecuador

Date: 7-21-2023

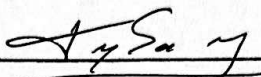
Signature: BH

JW FRESH, S.A.

I, Antonio SAMAN P., verify, under penalty of perjury under the laws of the United States that I am the General Manager of JW FRESH, S.A. and is the person who signed the foregoing Verified Complaint, that I read the foregoing and that the facts set forth without qualification are true and that the facts stated therein upon information received from others, I believe to be true.

Signed at: Guayaquil - Ecuador

Date: 07/25/2023

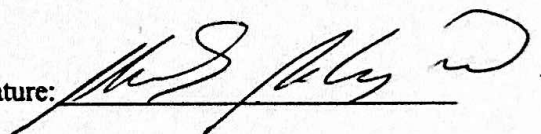
Signature: 

SEMBRÍOS DE EXPORTACIÓN SEMBRIEXPORT, S.A.

I, NICOLAS RODRIGUEZ, verify, under penalty of perjury under the laws of the United States that I am the GENERAL MANAGER of SEMBRÍOS DE EXPORTACIÓN SEMBRIEXPORT, S.A. and is the person who signed the foregoing Verified Complaint, that I read the foregoing and that the facts set forth without qualification are true and that the facts stated therein upon information received from others, I believe to be true.

Signed at: Guayaquil - Ecuador

Date: 07/25/2023

Signature: 

BRESSON S.A.

I, Antonio SAMAN P., verify, under penalty of perjury under the laws of the United States that I am the GENERAL MANAGER of BRESSON S.A. and is the person who signed the foregoing Verified Complaint, that I read the foregoing and that the facts set forth without qualification are true and that the facts stated therein upon information received from others, I believe to be true.

Signed at: Guayaquil - Ecuador

Date: 07/25/2023

Signature: 